DIGITALAIKART

2026-27 EDITION

THE INDIAN

Money Recovery Playbook 2026-27

Get paid what you are owed:

invoices, bounced cheques, borrowed money

- The 45-day rule, the 17.25% interest, and the forum that costs nothing
- Section 138 cheque cases, day by day, with every deadline written out
- Summary suits, commercial courts, arbitration and Lok Adalats compared
- 13 letters, 12 worksheets, 30 questions, one sequence to follow

Information and procedure, verified to 14 November 2026. Not a substitute for legal advice.

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The Indian Money Recovery Playbook 2026-27

Get paid what you are owed: invoices, bounced cheques and borrowed money

What is inside

- **Nine parts**, from the first-hour decision to execution of a decree, in the order you actually need them.
- **The MSME route in full**: the 45-day deadline, 17.25 per cent interest computed monthly, the ODR portal filing, the facilitation council, and the tax lever against the buyer.
- **Section 138 end to end**: the 30-15-30 clock, the notice that survives court, interim compensation under Section 143A, and the honest cost of a crowded docket.
- **Every other forum compared**: summary suits under Order 37, commercial courts and the mandatory mediation gate, arbitration, Lok Adalats, and the two routes that waste your money.
- **Thirteen letters** you can adapt in ten minutes, from the day-one reminder to the Section 80 notice to a government department.
- **Twelve printable worksheets**, including the deadline calendar, the interest computation and the settlement floor.
- **Thirty questions** people actually ask, answered without hedging.

How to read it

If a cheque has bounced, go straight to Part 5 and come back. That clock is measured in days. Everything else starts with Part 1, because the three questions there decide which of the later chapters applies to you.

> **A note on what this is**
>
> This is a procedure manual, not legal advice, and it does not create a lawyer-client relationship. Every rule and rate here was checked against a government source on 14 November 2026, and sources are listed at the back. For a contested claim, a criminal complaint or anything above your comfort level, engage an advocate, and arrive with the file this book helps you build.

Contents

The three numbers that frame everything 5
PART 1 The decision you make in the first hour 6
1.1 Three questions decide everything else 6
1.2 What you are actually owed is more than the invoice 6
1.3 The clock you cannot restart: limitation 7
PART 2 The evidence file that decides the outcome 8
2.1 Five documents do most of the work 8
2.2 Build the file from records you already have 8
2.3 WhatsApp and email are evidence, if you do the paperwork 9
2.4 The ninety-minute assembly 9
PART 3 The ladder: seven rungs from reminder to recovery 10
3.1 Most money is recovered on rung two or three 10
3.2 Rung one and two: the reminder that gets paid 10
3.3 Rung three: the demand letter 11
3.4 Rung four: the legal notice 11
PART 4 The 45-day weapon most suppliers never use 12
4.1 The strongest recovery tool in Indian commercial law 12
4.2 Two conditions, and most people fail the second 12
4.3 When the money was legally due: acceptance, not invoice 12
4.4 The interest nobody claims 13
4.5 Filing: the portal replaced the old system 13
4.6 What happens after you file 14
4.7 The honest reality check 14
4.8 The lever that needs no forum at all: the buyer's tax deduction 15
4.9 When the buyer is a large company: TReDS 15
PART 5 The bounced cheque: the strongest paper you can hold 16
5.1 A cheque turns a debt into a crime, and that changes everything 16
5.2 The 30-15-30 clock 16
5.3 The demand notice that survives court 16
5.4 Filing, and what actually happens in court 17
5.5 The defences you will meet 17
5.6 The honest downside 18
PART 6 The civil route: choosing the right forum 19
6.1 The forum follows the amount 19
6.2 The summary suit: a decree without a trial, if the debt is clean 19
6.3 Commercial courts, and the mediation gate you cannot skip 19
6.4 Arbitration, when the contract sends you there 20
6.5 Lok Adalat: free, fast and enforceable 20
6.6 Two routes that do not work 21
6.7 What each route costs you in money and months 21
PART 7 Special debtors 22
7.1 Government, public sector and municipal buyers 22
7.2 Companies, directors and firms that have shut 22

7.3 Friends and family 22
7.4 The debtor who has left the country 23
7.5 Who exactly to name in the claim 23
PART 8 Settlement, enforcement, and the decision to stop 24
8.1 Settling without giving away the interest 24
8.2 Turning a decree into money 24
8.3 When to write it off 24
8.4 What execution can actually reach 25
PART 9 Making sure you never need this book again 26
9.1 A credit policy on one page 26
9.2 Six contract clauses that pay for themselves 26
9.3 Seven red flags in a new buyer 27
9.4 Thirty minutes a month that changes your year 27
TOOLKIT Worksheets you can print and fill 28
Worksheet 1: the claim sheet 28
Worksheet 2: the deadline calendar 28
Worksheet 3: the interest computation 28
Worksheet 4: the evidence checklist 29
Worksheet 5: the route decision 29
Worksheet 6: the settlement floor 29
Worksheet 7: the Section 138 timeline 30
Worksheet 8: the follow-up log 30
Worksheet 9: the ODR filing checklist 30
Worksheet 10: the credit limit register 31
Worksheet 11: the write-off test 31
Worksheet 12: the ninety-day recovery plan 31
TEMPLATES Thirteen letters, ready to adapt 32
QUESTIONS Thirty questions people actually ask 38
REFERENCE Glossary and sources 41
Glossary 41
Sources 42
One last page 43

Before you read a single page

Somebody owes you money. That is why you opened this book. It may be an invoice a company has sat on for four months, a cheque that came back marked *funds insufficient*, a security deposit a landlord will not return, or a friend who has stopped answering calls since you lent him Rs. 80,000.

Here is the uncomfortable finding this book is built around: in India, most recoverable money is never recovered, and almost never because the law is weak. The law is unusually strong. A micro or small business can demand 17.25 per cent annual interest, compounded monthly, from a buyer who crosses 45 days. A bounced cheque is a criminal offence with a 30-15-30 clock that the courts enforce strictly. A summary suit can produce a decree without a full trial. The money stays stuck because the creditor never assembles four documents in the right order, misses one of those clocks, or sends a letter that reads like a complaint instead of a demand.

This book fixes the sequence. It gives you the order of operations, the exact statutory deadlines, the letters to send, and an honest account of what each route costs you in months and rupees.

What this book is not

It is not legal advice, and it will not replace an advocate on a contested claim. What it does is make you a client who arrives with a complete file, a correct computation and the right forum named, which is the difference between a case that settles in six weeks and one that dies in a filing queue.

The three numbers that frame everything

Keep these in view while you read. They explain why this problem is worth a systematic approach rather than another phone call to the accounts department.

Rs. 8.1 lakh crore

LOCKED IN DELAYED PAYMENTS

Economic Survey 2025-26 estimate of dues stuck with MSME suppliers

45 days

THE STATUTORY OUTER LIMIT

Section 15, MSMED Act 2006, from the day of acceptance

17.25% p.a.

INTEREST A BUYER OWES YOU

Three times the RBI bank rate of 5.75%, compounded monthly

The first number is the size of the problem across India. The second is the rule that most suppliers do not know they can invoke. The third is the price the buyer pays for ignoring it, and it is the single most useful sentence in any letter you will send.

PART 1

The decision you make in the first hour

1.1 Three questions decide everything else

Before drafting anything, answer three questions on paper. The answers pick your route, and picking the wrong route is the most expensive mistake in recovery.

1. **Is the money legally owed and provable?** A signed purchase order, a delivered invoice, an accepted service, a cheque, or a written acknowledgement of the balance. If all you have is a WhatsApp promise and no delivery proof, you are negotiating, not claiming.
2. **How much is at stake?** Below about Rs. 40,000, court fees, advocate fees and your own time usually eat the recovery. Between Rs. 40,000 and Rs. 3 lakh, the MSME route and the cheque route are the only ones that make economic sense. Above Rs. 3 lakh, the civil and commercial courts open up.
3. **Do you want the money or the customer?** This is a business decision, not a legal one, and it changes your tone. If you want the customer, you escalate slowly and settle. If you want the money and the relationship is already dead, you escalate fast, because every month of delay is another month of the buyer using your capital for free.

Write the answers down. Every letter in Part 3 and Part 4 changes depending on them.

1.2 What you are actually owed is more than the invoice

Most people claim the invoice amount and stop. That gives away money the statute already grants you. What you can claim depends on who the debtor is and which route you take.

What you can claim	When it is available	What it is worth
The principal	Always	The unpaid invoice, cheque or loan amount
Statutory interest at 3x bank rate, compounded monthly	Only if you are a registered micro or small enterprise and the buyer crossed 45 days (Section 16, MSMED Act)	17.25% a year, compounding monthly, as on November 2026
Contractual interest	Only if your invoice, PO or agreement states a rate	Whatever you agreed, subject to the court finding it reasonable
Interest at 18% or as the court directs	In a money suit, from the date the amount fell due	Commonly 9% to 18%, at the court's discretion
Notice and legal costs	Rarely in full; usually a token sum in the decree	Treat as a rounding error, not a plan
Interim compensation up to 20% of the cheque	In a Section 138 complaint, once the accused pleads not guilty	Cash in hand while the trial runs, but repayable if he is acquitted

Bank rate of 5.75% as on 13 November 2026, per the Reserve Bank of India. Three times that is 17.25%. The rate moves when the RBI moves; recompute before you file.

The second row is the one to remember. If you are a micro or small enterprise, the interest is not a negotiation position, it is a statutory entitlement, and the facilitation council has been told not to award any other rate.

1.3 The clock you cannot restart: limitation

A money claim in India lives for three years. Miss it and the debt does not disappear morally, but it dies legally, and no amount of documentation revives it. The three-year period starts from the date the money became payable, not the invoice date, not the date you last felt angry about it.

Two provisions buy you more time, and both need paper rather than memory.

- **Section 18, Limitation Act 1963.** A written acknowledgement of the liability, signed by the debtor before the three years run out, starts a fresh three years from the date of that signature. The acknowledgement does not need a format, does not need to state the exact amount, and does not stop being an acknowledgement because the debtor also refuses to pay.
- **Section 19, Limitation Act 1963.** A part payment made before the period expires restarts the clock from the date of payment, provided the payment is acknowledged in the debtor's own hand or in a writing he signed.

This is not a technicality. On 10 November 2026 the Supreme Court restored a money recovery suit that lower courts had thrown out as time-barred, holding that entries in the defendant's own balance sheets acknowledging the liability amounted to an acknowledgement under Section 18, renewing limitation each year the entry was carried forward. The Court was applying Asset Reconstruction Company (India) Ltd v Bishal Jaiswal and Axis Bank Ltd v Naren Sheth. The practical lesson: a buyer's audited balance sheet showing your name in sundry creditors is evidence, and you can obtain it.

> **The one habit that protects you**
>
> Once a year, send every debtor a statement of account and ask them to confirm the balance. A one-line reply, an email, a signed ledger confirmation or a WhatsApp message saying 'balance confirmed' resets limitation for another three years. Do this in the same week every year and no claim of yours will ever be time-barred.

For cheques there is a separate, much shorter clock, and Part 5 sets it out day by day. It is the most unforgiving deadline in this book.

PART 2

The evidence file that decides the outcome

2.1 Five documents do most of the work

Cases are won on a small stack, not a big one. If you have these five, most debtors settle before a hearing, because their lawyer will tell them the same thing this page tells you.

Document	What it proves	Where you get it
Purchase order or work order, signed	That a contract existed on these terms	Your own files; ask the buyer's procurement desk for a copy if lost
Invoice with a clear due date	The amount and when it fell due	Your billing software; GST portal if filed
Proof of delivery or acceptance	That the 45-day and 15-day clocks started	LR or docket copy, e-way bill, gate entry, signed challan, email acknowledgement, or the buyer's own receipt stamp
Your GSTR-1 and the buyer's GSTR-2B	That the supply happened and the buyer claimed it	GST portal, both sides
Payment history or ledger extract	That part was paid, and what the running balance is	Bank statement plus your ledger

Acceptance is the trigger for every deadline in this book. If you can prove delivery on a date, you can compute every other date.

Notice what is missing: a signed contract is not on the list. In Indian commercial practice most supplies run on a purchase order and an invoice, and both the MSMED Act and the Sale of Goods Act work without a formal agreement. What you cannot do without is proof of delivery.

2.2 Build the file from records you already have

You do not need to reconstruct history. You need to print what the government and your bank already hold, because those records carry a credibility your own ledger does not.

- **GST portal.** Download your filed GSTR-1 for the relevant months. It shows invoice number, date, taxable value and the buyer's GSTIN, and it is a government record of the supply.
- **The buyer's GSTR-2B.** If the buyer claimed input tax credit on your invoice, his own return admits the purchase. Ask him for it in writing; a refusal is itself informative, and in proceedings the council or court can call for it.
- **E-way bill portal.** For goods above the threshold, the e-way bill fixes the movement date and the consignee, which is often the cleanest proof of delivery you have.
- **Bank statement.** Shows every rupee received, which lets you state a running balance instead of an opinion.
- **Email and WhatsApp exports.** Export the full thread, not screenshots of selected messages. A thread with a date, the debtor's number and an admission is worth more than a folder of cropped images.

Then write a one-page statement of account: invoice number, invoice date, delivery date, amount, due date, amount received with dates, balance, and interest computed to date. This single page does more work in a settlement meeting than twenty pages of attachments.

2.3 WhatsApp and email are evidence, if you do the paperwork

Electronic records are admissible in Indian courts, and since 2023 the rule sits in Section 63 of the Bharatiya Sakshya Adhiniyam. But admissibility has a condition attached, and this is where most self-represented creditors lose: the record must be accompanied by a certificate.

Section 63(4) requires a certificate that identifies the electronic record and describes how it was produced, gives particulars of the device, and deals with whether the device was working properly. It must be signed by the person in charge of the device or the relevant activity.

The good news, confirmed by the Andhra Pradesh High Court in May 2026, is that a self-certificate by the person who owns and operates the phone is legally admissible and generally sufficient for WhatsApp messages and call recordings on that phone, provided it satisfies the statutory requirements. You do not need a forensic lab for your own chats. You do need the certificate.

> **What the certificate must say**
>
> Identify the record (for example: WhatsApp conversation with +91 XXXXX XXXXX between 3 March and 19 June 2026, exported as PDF). Describe how it was produced (exported from the WhatsApp application on a phone in my lawful control). Give the device particulars (make, model, operating system version). State that the device was operating properly and the record has not been altered since export. Sign and date it, and attach it to the printout every time you file it.

Do this at the moment you export, not the week before a hearing. Phones get replaced, chats get deleted, and a certificate written two years later is a weaker document than one written the same day.

2.4 The ninety-minute assembly

Block ninety minutes once. At the end you will have a file that can go to an advocate, a facilitation council or a court without anyone asking you for something you do not have.

1. Create one folder named after the debtor and the year.
2. Print the purchase order and the invoice, and write the delivery date on the invoice in red.
3. Download the GSTR-1 for the supply months and the bank statement for the period.
4. Export the complete email thread and the complete WhatsApp thread, and write the Section 63 certificate for each.
5. Fill the statement of account and compute interest to today's date.
6. Fill Worksheet 1 (the claim sheet) at the back of this book.
7. Photograph or scan everything into one PDF in date order.

That PDF is your leverage. In most disputes the debtor has no equivalent file, and the moment he realises you do, the conversation changes from whether to pay to when.

PART 3

The ladder: seven rungs from reminder to recovery

3.1 Most money is recovered on rung two or three

Escalation works because each rung costs the debtor something new: a little embarrassment, then a legal position, then a court date, then a tax consequence. Skipping rungs makes you look unstable. Staying on rung one forever makes you a supplier who can be paid last.

Rung	What you send	When	Cost to you	What it usually produces
1	Statement of account with a polite reminder	Day 1 after due date	Nil	Payment from an organised buyer
2	Firm follow-up naming the due date and the balance	Day 15	Nil	Payment or a payment date in writing
3	Demand letter with the statutory interest computation	Day 30	Nil	Payment, or a part payment with a schedule
4	Legal notice on letterhead, by registered post and email	Day 45	Rs. 1,500 to Rs. 5,000	Settlement in the majority of cases
5	MSME ODR filing or Section 138 complaint	Day 60 onward	Rs. 5,000 to Rs. 25,000	A hearing date the debtor must answer
6	Summary suit or arbitration	When the claim is large	Court fee plus advocate	A decree or an award
7	Execution of the decree	After the decree	Advocate plus fees	Attachment, garnishee, or a settlement under pressure

Timings assume the due date has passed and the amount is undisputed. Move faster where a cheque has bounced, because the 30-day clock in Part 5 has already started.

3.2 Rung one and two: the reminder that gets paid

A reminder fails when it asks a question. 'Any update on the payment?' invites a non-answer, and you have taught the buyer that ignoring you is free. A reminder works when it states a fact, states a number and states a consequence, and asks for nothing.

- Name the invoice, the date and the exact amount, including tax.
- State the number of days overdue. A number is harder to ignore than an adjective.
- Attach the statement of account as a PDF, not as text in the message.
- State the consequence once, calmly: from a stated date, statutory interest applies under Section 16 of the MSMED Act.
- End with a specific ask: a payment date, in writing, by a named date.

Template 1 and Template 2 at the back of this book are ready to send. Use them as they are; the flatness of the language is the point.

3.3 Rung three: the demand letter

The demand letter is where you stop being a supplier and become a claimant. It is not a legal notice, it costs nothing, and it resolves a surprising share of disputes because it arrives with arithmetic attached.

Nine elements, in this order: the parties and their addresses; the contract or purchase order reference; each invoice with date, amount and due date; proof of delivery in one line per invoice; the payments received and the balance; the statutory basis for interest with the computation; the total claimed as on a stated date; the date by which payment is required, usually fourteen days; and one line on what follows if it is not paid. Nothing else. No grievance, no history of your relationship, no appeal to fairness.

Why the arithmetic matters more than the argument

A letter that says 'you owe me Rs. 4,72,318 including Rs. 22,318 of interest computed at 17.25 per cent compounded monthly from 12 June 2026' is a different document from one that says 'you have not paid'. The first tells the debtor's finance team exactly what the exposure is, and finance teams settle quantified exposure.

3.4 Rung four: the legal notice

A legal notice is a formal demand, sent by an advocate or by you, that fixes a date and creates a record of refusal. Its value is procedural as much as persuasive: in some routes it is a precondition, and in all routes it is the document that proves you asked before you sued.

- Send it by registered post with acknowledgement due to the registered address, and by email to the address used in the dealings. Keep the postal receipt, the tracking printout and the acknowledgement card.
- Service is presumed when it is correctly addressed and posted, even if the envelope comes back refused or unclaimed. Do not panic if the AD card never returns; keep the proof of posting.
- For a company, address it to the company at its registered office and mark it to the directors. For a proprietorship, to the proprietor and the trade name. For a partnership, to the firm and the partners.
- Give a clear period, usually fifteen days, and state the forum you will approach.
- Where the debtor is the government or a public officer, a suit needs two months' prior notice under Section 80 of the Code of Civil Procedure. Build that into your calendar; a suit filed early is a suit dismissed.

Templates 4 and 5 cover the ordinary legal notice and the MSMED-specific version. Template 6 is the statutory demand notice for a bounced cheque, which is a different animal entirely and is governed by Section 138 of the Negotiable Instruments Act.

PART 4

The 45-day weapon most suppliers never use

4.1 The strongest recovery tool in Indian commercial law

If you are a micro or small enterprise selling goods or services to any buyer in India, large or small, the MSMED Act gives you a payment deadline, a punitive interest rate, a forum that costs you almost nothing, and a tax lever against the buyer. Almost none of this is used, for a reason the Economic Survey itself named: suppliers fear losing the customer.

That fear is rational, and this chapter does not pretend otherwise. What it does is give you the option, priced honestly, so the decision is yours rather than the accounts department's.

4.2 Two conditions, and most people fail the second

The delayed-payment provisions apply only to a supplier that is a **micro or small** enterprise, and only if that supplier was registered when the supply was made. Medium enterprises are outside the protection entirely, which is a distinction a lot of published guidance gets wrong.

Category	Investment in plant, machinery or equipment	Annual turnover
Micro	Not more than Rs. 2.5 crore	Not more than Rs. 10 crore
Small	Not more than Rs. 25 crore	Not more than Rs. 100 crore
Medium	Not more than Rs. 125 crore	Not more than Rs. 500 crore

Classification in force from 1 April 2025, per the Ministry of MSME and the Reserve Bank of India. Medium enterprises get none of the delayed-payment protection in this chapter.

Registration is free, paperless, self-declared and takes minutes on the Udyam portal. You need Aadhaar, PAN and GSTIN. No document upload, no fee, and no renewal. If you are not registered, register today, and understand that the registration will not help you on an invoice raised last year, because the registration date has to precede the supply for a clean claim.

The second condition is the one that quietly kills claims: the registration must be older than the supply. A Udyam certificate obtained in March does not cover an invoice raised in January, and a buyer's advocate will spot that at the first hearing. The buyer's own size is irrelevant. A large company, a medium enterprise and another micro enterprise that buys from you all carry the same Section 15 obligation.

4.3 When the money was legally due: acceptance, not invoice

Every deadline in this chapter runs from the day of acceptance or deemed acceptance, which is usually the day the goods were delivered or the service was rendered. Not the invoice date. Not the date the bill reached the accounts department. Not the date you chased.

Your written terms	Payment is due	The rule
No written agreement on credit period	Within 15 days of acceptance, that is before the appointed day	Section 15 read with Section 2(b)
Written agreement of 45 days or less	On the agreed date	Section 15
Written agreement longer than 45 days	45 days from acceptance, whatever the contract says	Section 15 caps the agreed period at 45 days
Buyer objects in writing within 15 days of delivery	The clock moves to the day you cure the objection	Section 2(b), Explanation
No objection raised within 15 days	Delivery day is deemed acceptance	Section 2(b), Explanation

A 90-day credit term in a purchase order does not extend the statutory limit. It is void to the extent it exceeds 45 days.

Note the trap in the first row. Where there is no written agreement, the period is shorter, not longer: fifteen days, not forty-five. Suppliers who never put terms in writing assume they get the longer period and are wrong.

4.4 The interest nobody claims

Section 16 makes a defaulting buyer liable for compound interest with monthly rests at three times the bank rate notified by the Reserve Bank. The Ministry's own guidance to the facilitation councils is that no other rate may be awarded. With the bank rate at 5.75 per cent as on 13 November 2026, that is 17.25 per cent a year, compounded every month, which is roughly 18.7 per cent effective.

Principal overdue	3 months	6 months	12 months	24 months
Rs. 1,00,000	Rs. 4,375	Rs. 8,941	Rs. 18,681	Rs. 40,853
Rs. 5,00,000	Rs. 21,875	Rs. 44,703	Rs. 93,407	Rs. 2,04,264
Rs. 10,00,000	Rs. 43,750	Rs. 89,406	Rs. 1,86,813	Rs. 4,08,527
Rs. 25,00,000	Rs. 1,09,375	Rs. 2,23,515	Rs. 4,67,034	Rs. 10,21,318

Interest at 17.25 per cent a year compounded monthly, computed on the principal only, from the date payment fell due. Recompute at the bank rate prevailing when you file.

Two things follow. First, on a Rs. 10 lakh invoice, waiting costs the buyer about Rs. 470 a day, and you can say so in a letter. Second, the interest is often the entire margin on the job. A supplier working on 12 per cent gross margin who waits a year is not waiting for profit, he is waiting for a loss.

Section 23 adds a second sting: interest paid or payable under Section 16 is disallowed as a deduction for the buyer when computing his business income. He cannot even book it as a cost.

4.5 Filing: the portal replaced the old system

Since 15 October 2025 there is only one way to file a new delayed-payment reference. The Ministry of MSME's letter of 3 October 2025 states it plainly: from that date all new delayed payment references are filed only on the MSME ODR portal at odr.msme.gov.in. The older Samadhaan portal, launched in October 2017, stopped accepting new filings; it now migrates old cases, redirects new users and lets you track references filed before the cut-off.

The ODR portal itself was launched on 27 June 2025. It is not a renamed complaint box: it carries a case through AI-assisted negotiation, conciliation and, if that fails, arbitration before the state facilitation council.

1. Check your Udyam registration on udyamregistration.gov.in. The certificate date must be before the invoice date, and the enterprise category must read micro or small.
2. Register an applicant account on odr.msme.gov.in using the email and mobile number on your Udyam profile, so the records match.
3. Add each unpaid invoice with its purchase order, its delivery or acceptance proof, and the date it fell overdue. Accurate dates drive the interest computation, and the portal calculates interest from what you enter.
4. Upload the statement of account and the correspondence in date order.
5. File the reference. It goes to the facilitation council of your state, the state where your unit is located, and the council has jurisdiction over a buyer anywhere in India.
6. Track the case and respond to every notice. A reference that goes unanswered by the claimant is a reference that dies.

There is no court fee for a reference to the facilitation council. If an intermediary offers to file it for a fee, that fee is for their time, not for access to the forum.

4.6 What happens after you file

Section 18 sets the sequence. The council first attempts conciliation, itself or through an institution. If conciliation fails, the council takes up the dispute for arbitration itself, or refers it to an arbitration institution, and the Arbitration and Conciliation Act 1996 then governs. Every reference is meant to be decided within ninety days.

The ninety days is a target that frequently slips, and you should plan for it to. What matters more is the leverage the reference creates at the conciliation stage, which is where most of these cases end.

One provision is worth knowing because it changes the buyer's arithmetic: under Section 19, if the buyer wants to challenge an award, he must first deposit 75 per cent of the award amount with the court. A buyer who has been ordered to pay Rs. 12 lakh must find Rs. 9 lakh before he can even argue. That is the reason facilitation council awards settle.

4.7 The honest reality check

The system exists, is free, and is slow. Three sets of numbers, all recent, tell you what to expect.

- As on 30 July 2026, 90,756 cases involving Rs. 21,030 crore were at various stages of adjudication with facilitation councils across the country, according to the Ministry's reply in the Lok Sabha on 6 August 2026.
- On the new ODR portal, 39,033 complaints had been filed up to 10 November 2026 and 4,030 disposed of, about 10.3 per cent. The value filed was Rs. 11,081 crore against Rs. 649 crore disposed.
- Industry surveys cited by the India SME Forum suggest fewer than 3 per cent of MSMEs facing delayed payments ever seek formal redressal at all.

So: file if the amount justifies the wait, and expect the filing to do its work at conciliation rather than at arbitration. Do not file a Rs. 30,000 claim and expect a hearing in ninety days. Do file a Rs. 15 lakh

claim, because a buyer facing a Section 19 deposit requirement behaves very differently from a buyer facing your emails.

4.8 The lever that needs no forum at all: the buyer's tax deduction

This is the cheapest pressure available to you, because it works on the buyer's accountant rather than on a court.

A buyer who has not paid a micro or small supplier within the Section 15 period cannot claim that expense in the year the liability arose. The deduction moves to the year he actually pays. The ordinary rescue for late payments, paying after year-end but before the return due date, is expressly switched off for this item.

For financial year 2025-26 and earlier the provision is Section 43B(h) of the Income-tax Act 1961. From tax year 2026-27 it is Section 37(2)(g) of the Income-tax Act 2025, with the carve-out in Section 37(3). The substance does not change; only the numbering does, and quoting the right section for the right year is what makes the letter land.

> **The sentence that gets a response**
> A letter that says the invoice remains unpaid beyond the Section 15 period, that the amount is therefore not deductible in the buyer's current year under Section 37(2)(g) of the Income-tax Act 2025, and that you will be writing to his statutory auditor to confirm the position, tends to reach the chief financial officer's desk faster than any legal notice. Template 7 is that letter.

Send it to the buyer, copied to the chief financial officer and the statutory auditor named in the annual report. Keep the tone factual. You are not threatening; you are telling his auditor something his auditor will have to test at year end anyway.

4.9 When the buyer is a large company: TReDS

If your buyer is a large corporate, a public sector enterprise or a government department, there is a second lever that does not involve a dispute at all: invoice discounting on TReDS, the Trade Receivables Discounting System, where your accepted invoice is financed by banks and the buyer pays the financier on maturity. It converts a 120-day wait into cash at a discount.

The system has grown: financing of over Rs. 5 lakh crore of receivables since inception, volumes of Rs. 2.33 lakh crore in FY25, nearly 1.72 lakh registered MSME sellers and more than 10,000 buyers as of October 2025. Union Budget 2026 moved to make TReDS a mandatory settlement platform for central public sector enterprises, which matters to you if you supply one.

TReDS is not recovery, it is avoidance of the problem, and the discount rate is the price. But it belongs in the same conversation: when a buyer says he will pay in 120 days, the honest answer is that you will discount the invoice and he will pay the financier, and if he does not like the discount he can pay you in 45.

PART 5

The bounced cheque: the strongest paper you can hold

5.1 A cheque turns a debt into a crime, and that changes everything

An unpaid invoice is a civil wrong. A dishonoured cheque is an offence under Section 138 of the Negotiable Instruments Act 1881, punishable with imprisonment up to two years, or a fine up to twice the cheque amount, or both. That single difference is why a cheque is worth more than a promise, and why the deadlines attached to it are the strictest in this book.

The offence needs five things, and all five must be present: the cheque was drawn to discharge a legally enforceable debt or liability; it was presented within its validity, which is three months from the date on the cheque; the bank returned it unpaid; you made a written demand within thirty days of receiving the bank's memo; and the drawer failed to pay within fifteen days of receiving that demand.

5.2 The 30-15-30 clock

Three windows, all short, all capable of destroying an otherwise perfect case. Write the dates in a calendar the day the cheque bounces.

Window	Length	Runs from	What you must do inside it
Presentation	3 months	The date written on the cheque	Deposit it. A cheque presented after validity fails, and the offence never arises
Demand notice	30 days	Receipt of the bank's return memo	Send a written demand by registered post and email, demanding the cheque amount within 15 days
Drawer's window	15 days	Receipt of your notice	Wait. If he pays in full, the matter ends. Part payment does not cure the dishonour
Complaint	1 month	The day after the 15-day window expires	File the complaint before the Magistrate. Delay can be condoned, but do not rely on it

The clock runs from receipt of the bank memo, so collect the memo from your bank the day the cheque returns. A memo sitting in a bank branch is a case expiring.

Worked example. A cheque dated 4 September 2026 is deposited on 12 September and returned on 15 September with the remark *funds insufficient*. The demand notice must be despatched by 15 October. It is received on 20 October, so the drawer has until 4 November to pay. If he does not, the cause of action arises on 5 November and the complaint must be filed by 5 December. Miss the last date and the offence is gone, although the debt survives and can still be sued on as an ordinary civil claim.

5.3 The demand notice that survives court

Most cheque cases are lost on the notice, not on the facts. The notice must demand the cheque amount, and it must be capable of proof of service.

- State the cheque number, date, amount, drawee bank and branch, and the date of the return memo with its remark.
- Demand payment of the cheque amount within fifteen days of receipt of the notice. Not a settlement offer, not a schedule: the cheque amount.
- Address it to the drawer at the address in the bank's records and at his known address, and to the company at its registered office with copies to the directors if the drawer is a company.
- Send by registered post with acknowledgement due, and by email to the address used in the dealings. Keep the postal receipt, the tracking record and the AD card.
- Do not accept a part payment as full settlement without a written record, and do not promise not to file. A notice that offers to withdraw the complaint for a payment plan can be used to argue the demand was not genuine.

Template 6 is a complete Section 138 notice. Read the last paragraph carefully: it must say that on failure to pay, a complaint will be filed, and it must not threaten anything beyond the statute.

5.4 Filing, and what actually happens in court

The complaint is filed before a Judicial Magistrate. Section 142A, inserted in 2015, fixes territorial jurisdiction at the court where the payee's bank branch, the one where the cheque was deposited for collection, is situated. That provision ended years of forum shopping and is worth knowing because it lets you file near your own business rather than near the debtor.

The trial is a summary trial under Section 143, with a statutory endeavour to conclude within six months. Section 139 raises a presumption that the cheque was given for a legally enforceable debt, which means the drawer must explain, not merely deny.

Two provisions put money in your hands before the trial ends, and both are routinely forgotten.

Provision	What it does	The mechanics
Section 143A	Interim compensation up to 20% of the cheque amount while the trial is running	Court may order it once the drawer pleads not guilty; payable within 60 days, extendable by 30; repayable with interest if the drawer is acquitted
Section 148	Deposit before an appeal is heard	A drawer appealing against conviction must deposit at least 20% of the fine or compensation awarded
Section 147	Compounding	The offence can be compounded, which is the legal form of the settlement most cases reach

Section 143A is discretionary, not automatic. Ask for it in writing at the plea stage with reasons, and ask for a specific percentage rather than the maximum without explanation.

The 20 per cent matters practically. On a Rs. 8 lakh cheque, an interim order puts Rs. 1.6 lakh in your account within two months of the plea, which frequently ends the dispute, because a drawer who has just paid 20 per cent and still faces trial usually prefers to settle.

5.5 The defences you will meet

Know these before you file, because a drawer's advocate will raise at least two of them.

Defence raised	The answer
The cheque was given as security, not for a debt	The Section 139 presumption still applies; the drawer must prove the purpose. Keep the invoice and delivery proof that ties the cheque to a specific liability
The cheque was blank when signed	A signed cheque handed over with particulars to be filled is a common practice, and the drawer carries the burden of showing misuse. Avoid the situation by never issuing or accepting incomplete instruments
The notice was never received	Service is presumed where the notice is correctly addressed and posted. Produce the postal receipt, the tracking record and the returned envelope
The debt is time-barred	The cheque itself can create a fresh liability if it was issued within limitation; but a cheque for a debt already dead at the date of the cheque is a weak case. Check the dates
The complaint is against the wrong person	For a company, the complaint must name the company and the person in charge of its affairs at the time of the offence. Naming a director without that averment fails
The amount was adjusted or partly paid	Part payment does not extinguish the offence, but keep a clean account statement so the arithmetic is not in dispute

None of this is a reason to avoid filing. It is a reason to file with a complete file rather than a hopeful one.

5.6 The honest downside

Cheque cases are the most crowded docket in the Indian criminal justice system. The government told the Lok Sabha in December 2024 that 43,05,932 cheque bounce cases were pending across the country. In Delhi alone, the National Judicial Data Grid showed 4,42,080 pending as on 27 July 2026, of which 94,663 sat in the Patiala House courts, and the Ministry told Parliament that a case there takes roughly thirty to forty hearings to reach final disposal.

Read that as a negotiating fact rather than a reason to stay home. The filing costs you a modest court fee and an advocate's fee. The filing costs the drawer a criminal record, appearance dates and, at the plea stage, up to 20 per cent of the cheque. That asymmetry is why the overwhelming majority of Section 138 complaints end in compounding rather than judgment, and why a well-drafted notice often produces payment before the complaint is even numbered.

PART 6

The civil route: choosing the right forum

6.1 The forum follows the amount

There is no single correct court. There is a correct court for your amount, your paperwork and your appetite for delay.

Amount	Best first move	Why
Up to Rs. 40,000	Demand letter, then Lok Adalat or a small cause suit	The economics only work if the forum is free or near-free
Rs. 40,000 to Rs. 3 lakh	MSME reference if you are registered; Section 138 if a cheque bounced; else a summary suit	These are the routes with low entry cost and real pressure
Rs. 3 lakh to Rs. 1 crore	Commercial suit before the commercial court, after mandatory pre-institution mediation	Specialised procedure and case management
Above Rs. 1 crore	Commercial suit or arbitration, with interim relief considered	Speed matters more than fees at this size
Any amount, contract has an arbitration clause	Arbitration under the clause	A court will otherwise send you there anyway

Court fees are set by state law and vary widely. Check the fee schedule for your state before you decide a small claim is worth filing.

6.2 The summary suit: a decree without a trial, if the debt is clean

Order 37 of the Code of Civil Procedure exists for exactly your situation: a debt or liquidated demand in money arising on a written contract, on an enactment, or on a guarantee. The defendant does not get to file a written statement and delay for years. He must apply for permission to defend, and if he cannot show a substantial defence, judgment is entered for you.

1. File the suit with the plaint, the documents and the statement of account. The plaint must state that it is filed under Order 37 and that no relief other than a money decree is claimed.
2. The defendant enters appearance within ten days of service of the summons.
3. You then serve a summons for judgment, and the defendant has ten days to apply for leave to defend, disclosing specific facts by affidavit.
4. The court grants leave unconditionally, grants it on conditions such as a deposit, or refuses it and passes judgment for you.

Two details decide the outcome. First, a bare denial earns nothing: the defendant must particularise the payments made, the clause relied on, the defect alleged. Second, if he admits any part of the claim, the court must require that admitted amount to be deposited before he is allowed to defend the rest. That second proviso is where most summary suits end, because a buyer who concedes Rs. 6 lakh of a Rs. 9 lakh claim has to fund the concession to keep fighting.

6.3 Commercial courts, and the mediation gate you cannot skip

If your claim arises out of a commercial transaction and is worth Rs. 3 lakh or more, your suit belongs in a commercial court, and it cannot be filed until you have attempted pre-institution mediation. This is not optional. Section 12A of the Commercial Courts Act 2015 says a suit which does not contemplate urgent interim relief shall not be instituted unless the plaintiff exhausts pre-institution mediation, and the Supreme Court held in Patil Automation Pvt. Ltd. v Rakheja Engineers Pvt. Ltd. (2022) that the requirement is mandatory, with a plaint filed in breach liable to rejection. For suits filed on or after 20 August 2022, that consequence is real; the Court restated the position in Dhanbad Fuels Pvt. Ltd. v Union of India in May 2025.

- The mediation is conducted by the Legal Services Institutions, and must be completed within three months, extendable by two with consent.
- The time spent in mediation is excluded from limitation, so the gate does not cost you your claim.
- A settlement reached there has the same status as an arbitral award on agreed terms, which means it is enforceable.
- The exception for urgent interim relief is judged on substance. A prayer for an injunction inserted to dodge mediation will be seen for what it is.

For a creditor this gate is usually welcome. Mediation is free, it takes weeks rather than years, and a buyer who has refused every email will often pay in a mediation session because there is now a neutral party in the room and a date he must attend.

6.4 Arbitration, when the contract sends you there

If your purchase order or agreement contains an arbitration clause, a court will ordinarily refer the dispute to arbitration, so use the clause rather than fight it.

The operative statute is the Arbitration and Conciliation Act 1996, as amended in 2015, 2019 and 2021. A consultation draft circulated in October 2024 is still not law as of November 2026, and any guide that tells you otherwise is describing a proposal.

1. Serve a notice invoking arbitration under Section 21, setting out the dispute, the amount and the relief. This notice starts the arbitration, so draft it as carefully as a plaint.
2. If the other side does not agree on an arbitrator, apply to the High Court or the institution named in the clause for appointment under Section 11.
3. The tribunal decides the claim. Awards carry interest and are enforceable as a decree of a civil court under Section 36.

Arbitration is faster than a court in a well-run institution and slower than a court in a badly drafted ad hoc clause. Read your clause before you rely on it: a clause that names no seat, no institution and no number of arbitrators is a clause that generates a preliminary dispute about the clause itself.

6.5 Lok Adalat: free, fast and enforceable

Lok Adalats are constituted under the Legal Services Authorities Act 1987, and they handle exactly the kind of pre-litigation money dispute that a small supplier has. The award is deemed to be a decree of a civil court, it is final, and no appeal lies against it.

The trade-off is obvious and worth stating: you will be asked to give up something, usually the interest or a slice of the principal, in exchange for payment on a schedule. If your alternative is a summary suit

that takes three years, a 15 per cent haircut with money in six weeks is often the better deal. Do the arithmetic before you walk into the room, and decide your floor in advance.

6.6 Two routes that do not work

Both are popular, both are usually a waste of money, and knowing why saves you from an advocate who proposes them.

Insolvency against an individual. Part III of the Insolvency and Bankruptcy Code 2016 exists on paper, with a Section 78 threshold of Rs. 1,000 and a fresh-start process for debtors whose income is under Rs. 60,000, assets under Rs. 20,000 and qualifying debts under Rs. 35,000. In practice the individual insolvency machinery has been used mainly against personal guarantors to corporate debtors, where tribunals have applied a Rs. 1 crore threshold, and it is not a practical recovery tool for a Rs. 5 lakh trade debt. Mentioning it in a letter is fine. Relying on it is not.

A criminal complaint for a commercial debt. Sections 316 and 318 of the Bharatiya Nyaya Sanhita cover criminal breach of trust and cheating, and they fit a buyer who ordered goods with no intention of paying from the start. They do not fit a buyer who is simply slow, and courts have repeatedly said that a civil dispute dressed as a criminal complaint invites quashing and costs you credibility. Use the criminal route only where you have evidence of deception at the outset, and never as a substitute for Section 138 when a cheque exists.

6.7 What each route costs you in money and months

Every route here works. They differ in what they take from you, and the cheapest forum is rarely the fastest one. Use this table to decide before you spend anything.

Route	Upfront cost	Typical time to an enforceable order	What it recovers
Demand letter	Nil	Two to six weeks	Principal, if the buyer responds
MSME reference on the ODR portal	No court fee	Ninety days is the target; expect longer	Principal, statutory interest and costs
Section 138 complaint	Court fee and advocate fees	Six months is the statutory endeavour; a year or more in practice	Cheque amount, up to 20 per cent interim, plus compensation
Summary suit, Order 37	Ad valorem court fee plus advocate	One to three years	Principal with interest the court allows
Commercial suit	Higher court fee, senior counsel	Two to four years, less mediation time	Principal, interest and some costs
Arbitration	Tribunal fees, often shared	Six months to two years	Award enforceable as a decree
Lok Adalat	Nil	Weeks	Whatever you agree to accept

Court fees are set by state law. Add your own time to every row; it is the cost most creditors forget to count.

Read the table with one question in mind: what is the smallest forum that can produce a document the debtor must obey? For most claims in this book the answer is the facilitation council or the cheque complaint, and both cost less than a summary suit that will not be heard for a year.

PART 7

Special debtors

7.1 Government, public sector and municipal buyers

A government buyer is slower, more procedural and more collectible once you have a decree, because the money exists and the officer cannot abscond. The mistake is treating it like a private debtor.

- You cannot sue without two months' prior notice under Section 80 of the Code of Civil Procedure. Serve it correctly and diarise the date; a suit filed early is dismissed, and you start again.
- Route the claim through the correct paying authority: the bill-passing section, the finance officer, then the head of department. A letter to the wrong desk resets your clock.
- Ask for the bill's current position in writing under the Right to Information Act. A written reply from the department fixes the date of rejection or non-payment, which you need.
- Escalate to the department's grievance portal and, for central ministries, to the CPGRAMS platform, before litigating.
- Where the buyer is a central public sector enterprise, the 2026 budget measures make TReDS the mandatory settlement route, so the receivable can be discounted instead of chased.

7.2 Companies, directors and firms that have shut

The question is always the same: who is personally on the hook? For a private limited company, the answer is usually the company alone, and a decree against a company with no assets is a certificate of victory and nothing more. Three exceptions are worth checking before you spend money.

1. **A personal guarantee.** A signed guarantee, or a cheque signed by a director in his personal capacity, changes everything. This is the single most valuable clause you can add to a supply contract.
2. **Section 138 against the company and its officers.** Where a cheque of the company bounced, the complaint must name the company and the person in charge of its affairs at the time of the offence. Get that averment right and the individual is a party; get it wrong and the complaint fails against him.
3. **The firm that is not a company.** A partnership firm's partners are jointly and severally liable, and a proprietorship is the proprietor. A limited liability partnership is a body corporate, so treat it like a company.

If the company is already in insolvency, you are a creditor in a process, not a claimant in a suit. File your claim with the resolution professional within the time stated in the public announcement, or you will be treated as a late claimant or excluded.

7.3 Friends and family

This is the most common claim in India and the least likely to be filed, and the honest advice is to decide early whether you are collecting a debt or ending a relationship.

If you want the money, put it in writing immediately: a simple promissory note or a loan acknowledgement signed by the borrower, stating the amount, the date and the repayment terms. That document does two things a bank transfer alone cannot: it is evidence, and it restarts limitation when acknowledged. If you are lending today, transfer by bank rather than cash, write the purpose in the narration, and ask for a signed note the same week.

If the relationship matters more than the money, say so explicitly and put a schedule in writing. An ambiguous arrangement, where nobody has admitted anything and nothing is documented, ends with both the money and the friendship gone.

7.4 The debtor who has left the country

An NRI debtor is collectible, but only through a route that can reach him. A decree from an Indian court is enforceable in a country that reciprocates under Section 44A of the Code of Civil Procedure, and in others only by suing again on the decree. Before you file, find out where he actually lives and whether he still holds assets in India. A claim against an NRI is often best pursued against his Indian property, his Indian bank account or his guarantor here, rather than against him personally abroad.

7.5 Who exactly to name in the claim

Naming the wrong party is the most common reason a good claim fails at the first hearing. The entity that placed the order, the entity that signed the cheque and the entity that received the goods are often three different names, and only one of them is your debtor.

Debtor's form	Who you sue or complain against
Proprietorship	The proprietor, trading as the firm. The proprietor's personal assets are in reach
Partnership firm	The firm and all partners, who are jointly and severally liable
Limited liability partnership	The LLP alone, as a body corporate, unless a partner gave a guarantee
Private limited company	The company at its registered office; add a director only with a guarantee or under Section 138
Hindu undivided family	The karta and the HUF, with the family assets identified
Trust or society	The trust or society through its trustees or office bearers, and check whether personal liability was accepted
Co-operative society	The society, and use its dispute machinery before a civil court
Government department	The Union or State, as the case may be, after two months' notice under Section 80

Check the GSTIN on the invoice against the name on the order. Where they differ, the invoice has told you who the real counterparty is.

Pull the registered particulars before you draft anything: the company master data on the Ministry of Corporate Affairs portal for a company or LLP, the GST portal for the trade name and address, and the firm's registration certificate for a partnership. A notice sent to an address the debtor no longer uses is a notice he can plausibly say he never saw.

PART 8

Settlement, enforcement, and the decision to stop

8.1 Settling without giving away the interest

A settlement is a commercial deal, and the creditor's most common error is trading away the interest before anyone has asked for it. The interest is your negotiating room, not your opening concession.

- Open at principal plus statutory interest plus your costs. That is the number the buyer's finance team will compare against the cost of being sued.
- Trade the interest, never the principal, and only against speed: a shorter date, a larger first instalment, or security.
- Put it in writing, signed by both sides, with a default clause that revives the full claim if one instalment is missed.
- Take a post-dated cheque or a promissory note for the balance, and record it in the settlement. A default then gives you the Section 138 route as well as the contract.
- Do not sign a full and final settlement for a part payment unless the balance is genuinely uneconomic to chase.

8.2 Turning a decree into money

A decree is not money. Execution is a separate proceeding, and it is where most successful creditors stop one step short.

1. Apply for execution before the court that passed the decree, within twelve years of the decree.
2. Ask for attachment of the bank accounts you can identify. A garnishee order directs the bank to pay you from the debtor's balance, and it is the fastest execution step available.
3. For a company, ask for the examination of the debtor's officers and production of its books, so you can find assets you did not know about.
4. Consider attachment of immovable property, and a declaration of the debtor's assets on affidavit where the court permits it.
5. Watch for transfers made after the dispute began. A transfer intended to defeat creditors can be challenged, but only if you can show it.

Execution rewards preparation done years earlier: a bank account number on an old invoice, a GSTIN that leads to a registered address, a personal guarantee that widens the pool of assets. Collect these details on day one of every customer relationship, not on the day you sue.

8.3 When to write it off

Some claims should be abandoned, and deciding that deliberately is cheaper than discovering it in year three.

- The debtor has no assets, no income and no prospects, and you have already confirmed it through a bank response or an asset search.
- The amount is under roughly Rs. 25,000 and the debtor is an individual with nothing to attach. The forum costs more than the claim.
- Limitation has already expired and no acknowledgement or part payment exists. The claim is gone; stop paying an advocate to confirm it.
- The relationship is worth more than the balance and you have decided, consciously, to treat the amount as a marketing cost. Say so in writing so it does not recur.

Then book it properly. A bad debt written off is an expense; a bad debt you keep chasing for three years is an expense plus your time plus the opportunity cost of the working capital.

8.4 What execution can actually reach

Knowing what can be attached tells you whether a decree is worth pursuing. Some assets are reachable, some are protected, and one category is a trap that consumes years.

Asset	Reachable in execution	The practical note
Bank balance	Yes	A garnishee order is the fastest step; you need the account details, which is why you collect them on day one
Salary	Partly	Attachment is limited to a portion of the salary and needs repeated applications
Immovable property	Yes	Attachment, then sale through the court; slow, and mortgages rank ahead of you
Stock and machinery	Yes	Attachment and sale, but only if you can point the bailiff to them
Motor vehicle	Yes	Identify the registration number and the financier, if any
Receivables owed to the debtor	Yes	A garnishee order against the debtor's own customer, which is often the largest pool
Tools of trade and personal effects	Largely protected	Necessary wearing apparel, cooking vessels and the tools of a craftsman are generally exempt
Assets transferred after the dispute began	Sometimes	A transfer intended to defeat creditors can be challenged, but you must prove the intent

Twelve years is the outer life of a money decree. Execution filed years after the judgment usually finds nothing left to attach.

The lesson runs backwards through this book. The information that makes execution possible, an account number, a GSTIN, a vehicle registration, a personal guarantee, is available at the start of a customer relationship and almost impossible to obtain once he has stopped answering your calls. Collect it when the relationship is good.

PART 9

Making sure you never need this book again

9.1 A credit policy on one page

Recovery is mostly decided before the invoice is raised. Write these eight lines down and apply them to every new customer, without exception, for six months. Your receivables will change more than any letter will change them.

1. No supply without a written purchase order, and no purchase order accepted without your payment terms printed on your invoice.
2. Credit terms of 30 days by default, 45 maximum, and never a term longer than 45 days for a micro or small buyer, because the law will read it down anyway.
3. A credit limit per customer, set at what you can afford to lose once, and a hold on new orders when the limit is crossed.
4. A post-dated cheque or a personal guarantee for any first order above a stated value.
5. Delivery acknowledged in writing, every time, by whoever receives the goods.
6. An invoice sent the same day as dispatch, with the due date printed, not implied.
7. A statement of account to every customer on the first of each month.
8. A stop-supply rule that nobody in the company can override informally, including you.

9.2 Six contract clauses that pay for themselves

Add these to your purchase order acceptance, your invoice footer or your supply agreement. Each one has a specific job.

Clause	What it buys you
Payment due within 30 days of acceptance, time being of the essence	A due date you can prove, which every route in this book needs
Interest on overdue amounts at the statutory rate or 18% a year, whichever is higher	A contractual rate where the MSMED rate does not apply
Buyer to reimburse all costs of recovery, including advocate fees	A claim for costs that a court may actually allow
Personal guarantee by the promoter for credit above a stated value	A second pocket to pursue when the company has none
Title in goods passes only on full payment	A route to recover the goods themselves rather than a claim for money
Disputes referred to arbitration at your city, under the Arbitration and Conciliation Act 1996	A forum near you and a faster process

Clauses are worth nothing unless the purchase order you sign does not contradict them. Read the buyer's terms before you accept the order, and strike the 90-day credit line.

9.3 Seven red flags in a new buyer

These appear before the first default. Each one is a reason to shorten credit, ask for a cheque, or walk away.

- The purchase order arrives without a GSTIN, or with a GSTIN that does not match the name on the order.
- The buyer wants a longer credit period than anyone else in your industry offers, and explains it as 'our standard terms'.
- Payment comes from a different entity than the one that placed the order, and nobody will explain why.
- The accounts contact changes every few weeks, and nobody will give you a name and a direct number.
- The first invoice is paid early and in full, and the second is for four times the amount.
- The buyer's own suppliers mention slow payment, and the buyer calls it 'industry practice'.
- The order is urgent, the margin is unusually good, and the paperwork is unusually thin.

9.4 Thirty minutes a month that changes your year

Collections fail from neglect rather than from strategy. One recurring appointment, on the first working day of the month, prevents most of what this book is about.

1. Open the receivables ageing and read the 60-plus column first. That is where the losses are, and it is the column most owners never look at.
2. Send a statement of account to every customer with a balance, whether or not they are late. A statement is not a demand, which is why it gets read.
3. Move every account past 45 days one rung up the ladder in Part 3. One rung, not three.
4. Check the deadline calendar for the month: any Section 138 window open, any notice about to expire, any limitation date approaching.
5. Update the credit limit register and put a hold on anyone who has crossed the limit, before the next order is accepted.
6. Write one line in the file for every account you called: date, who you spoke to, what was promised.

Thirty minutes, twelve times a year. Suppliers who do this stop describing their receivables as a problem and start describing them as a process, which is also how their buyers start describing them.

TOOLKIT

Worksheets you can print and fill

Twelve worksheets. Print them, fill them in ink, keep them in the debtor's folder. The act of writing the dates down is what stops a deadline from passing.

Worksheet 1: the claim sheet

Field	Your entry
Debtor name and full address	
Debtor GSTIN and registered office	
Purchase order or contract reference	
Invoice numbers, dates and amounts	
Date of delivery or service completion	
Date payment fell due, and why	
Amount received, with dates	
Balance principal	
Interest claimed, with computation date	
Total claimed as on today	
Your Udyam number and category	
Cheque details, if any	

Worksheet 2: the deadline calendar

Event	Date	Deadline it triggers
Goods delivered or service completed		Starts the Section 15 clock
Payment fell due (15 or 45 days)		Interest begins the next day
Cheque deposited		Three months from cheque date at most
Bank return memo received		30 days to send the demand notice
Section 138 notice despatched		15 days for the drawer to pay
15-day window expires		One month to file the complaint
Complaint filed or MSME reference filed		Diarise the first hearing

Worksheet 3: the interest computation

Invoice	Amount	Due date	Months overdue	Interest at 17.25% monthly compounded

Recompute at the RBI bank rate prevailing on the date you file, and show the rate you used in the letter.

Worksheet 4: the evidence checklist

Item	Have it	Where it is
Signed purchase order or work order		
Invoice with printed due date		
Proof of delivery or acceptance		
E-way bill or transporter receipt		
Filed GSTR-1 for the supply month		
Buyer's GSTR-2B showing the purchase		
Bank statement for the period		
Email thread, exported in full		
WhatsApp thread with Section 63 certificate		
Statement of account signed by you		
Previous acknowledgements of balance		

Worksheet 5: the route decision

Question	Yes	No
Is the amount above Rs. 40,000?		
Do you have proof of delivery or acceptance?		
Are you a registered micro or small enterprise?		
Was the Udyam registration dated before the invoice?		
Is the claim within three years, or acknowledged?		
Did a cheque of the debtor bounce?		
Does the contract contain an arbitration clause?		
Is the claim above Rs. 3 lakh?		
Do you need the customer relationship after this?		

Four or more yes answers in the first five rows means the MSME route is open to you. A bounced cheque means the Section 138 clock is already running.

Worksheet 6: the settlement floor

Figure	Amount
Principal outstanding	
Statutory or contractual interest to date	
Your costs so far (notice, travel, advocate)	
Total claim	
Cost and time of the next route	
Your walk-away floor	
First instalment you will accept	
Security you will require	

Worksheet 7: the Section 138 timeline

Step	Statutory window	Your date
Cheque date and validity	Three months	
Deposited on		
Returned on, with remark		
Notice despatched by	30 days from memo	
Notice received on		
Drawer's 15 days end on	15 days from receipt	
Cause of action arises	Day 16	
Complaint to be filed by	One month	

Worksheet 8: the follow-up log

Date	Who you spoke to	What was promised	By when

A log with dates and names is evidence of a broken promise, which is what converts a reminder into a claim.

Worksheet 9: the ODR filing checklist

Item	Done
Udyam certificate, dated before the invoice	
Applicant account created on odr.msme.gov.in	
Each invoice entered with its due date	
Purchase order and delivery proof uploaded	

Item	Done
Statement of account uploaded	
Correspondence uploaded in date order	
Reference number noted and diarised	

Worksheet 10: the credit limit register

Customer	Limit	Outstanding	Days overdue	Supply on hold

Worksheet 11: the write-off test

Test	Answer
Does the debtor have any identifiable asset?	
Is there a personal guarantee?	
Is the claim still within limitation?	
Does the amount exceed the cost of the forum?	
Is there any evidence of deception at the outset?	
Decision: pursue, settle or write off	

Worksheet 12: the ninety-day recovery plan

Week	Action
1	Assemble the file, fill Worksheets 1 to 4, compute interest
2	Send the demand letter with the computation attached
3	Call the buyer's finance head once, log the outcome
5	Legal notice by registered post and email
7	Decide: MSME reference, Section 138 complaint, or settlement
8 to 10	File. Do not wait for one more promise
11 to 13	Follow up on the filing, attend the first date, review the floor

TEMPLATES

Thirteen letters, ready to adapt

Replace the bracketed fields. Keep the sentences you do not understand; they are there because they do a job. Send every letter as a PDF attachment plus the same text in the body, so it is readable on a phone.

Template 1: day-one reminder

Subject: Invoice [number] dated [date] - Rs. [amount] - payment due [date]

Dear [name],

Our records show invoice [number] dated [date] for Rs. [amount] fell due for payment on [date] under the terms on the invoice. As on today, the invoice is [number] days overdue.

Statement of account is attached.

Please confirm the date on which payment will be released, in writing, by [date]. If there is any document you need from us to process the payment, tell us today and we will send it the same day.

Regards, [your name, firm, phone]

Template 2: day-fifteen firm follow-up

Subject: Second reminder - invoice [number] - Rs. [amount] - [number] days overdue

Dear [name],

We wrote on [date] about invoice [number] for Rs. [amount], due on [date]. We have received no payment and no payment date.

The balance on your account today is Rs. [amount]. Under Section 16 of the Micro, Small and Medium Enterprises Development Act 2006, a buyer who does not pay a registered micro or small enterprise within the period in Section 15 is liable to pay compound interest with monthly rests at three times the bank rate notified by the Reserve Bank of India, which is currently 17.25 per cent a year.

We would rather not add interest to your account. Please release payment by [date].

Regards, [your name, firm, phone]

Template 3: demand letter with interest computation

Subject: Demand for payment - Rs. [amount] - invoices as per annexure

Dear [name],

1. Under purchase order [number] dated [date], we supplied [goods or services] which you accepted on [date]. Invoices [numbers] totalling Rs. [amount] fell due on [dates].

2. We have received Rs. [amount] on [dates]. The principal outstanding is Rs. [amount].

3. Under Section 16 of the MSMED Act 2006 we are entitled to compound interest with monthly rests at three times the bank rate notified by the Reserve Bank of India. At the bank rate of 5.75 per cent in force, the rate is 17.25 per cent a year. Interest computed to [date] is Rs. [amount], as per the annexure.

4. The total due as on [date] is Rs. [amount].

5. We require payment by [date, fourteen days out]. If we do not receive it, we will place the matter in the hands of our advocate and pursue the remedies available to us, including a reference to the Micro and Small Enterprises Facilitation Council and recovery of interest and costs.

Annexures: invoices, proof of delivery, statement of account, interest computation.

Regards, [your name, firm, phone]

Template 4: legal notice for a money claim

Subject: Legal notice - recovery of Rs. [amount]

Under instructions from and on behalf of [your firm], I address you as follows.

1. You purchased [goods or services] from my client under [purchase order or agreement] dated [date], which my client supplied and you accepted on [date].

2. My client raised invoices [numbers] for Rs. [amount], payable by [dates]. You have paid Rs. [amount] and have failed and neglected to pay the balance of Rs. [amount] despite reminders dated [dates].

3. You are liable to pay Rs. [amount] towards the principal together with interest of Rs. [amount] computed to [date], aggregating Rs. [amount].

4. I hereby call upon you to pay Rs. [amount] within fifteen days of receipt of this notice, failing which my client will be constrained to initiate civil proceedings for recovery, at your risk as to costs and consequences.

5. This notice is issued without prejudice to my client's other rights and remedies.

Regards, [advocate name and address]

Template 5: statutory notice to a buyer under the MSMED Act

Subject: Notice under Sections 15 and 16 of the MSMED Act 2006 - payment overdue beyond 45 days

Dear [name],

1. We are a micro enterprise registered under Udyam vide [number] dated [date], which precedes the supplies referred to below.

2. We supplied [goods or services] under purchase order [number]. You accepted the supply on [date]. Payment therefore fell due on [date] under Section 15 of the MSMED Act 2006.

3. Payment has not been made. You are liable under Section 16 to pay compound interest with monthly rests at three times the bank rate notified by the Reserve Bank of India, currently 17.25 per cent a year, amounting to Rs. [amount] to [date].

4. Please note that under Section 37(2)(g) of the Income-tax Act 2025, an amount payable to a micro or small enterprise beyond the time limit in Section 15 is allowed as a deduction only in the tax year in which it is actually paid, and the usual relief for payment before the return due date does not apply to it.

5. If payment of Rs. [amount] is not received by [date], we will file a reference before the Micro and Small Enterprises Facilitation Council through the MSME ODR portal, where the council may also award interest and costs.

Regards, [your name, firm, phone]

Template 6: Section 138 demand notice for a bounced cheque

Subject: Statutory notice under Section 138 of the Negotiable Instruments Act 1881

Dear [name],

1. You issued cheque number [number] dated [date] for Rs. [amount] drawn on [bank and branch] in favour of [payee], in discharge of a legally enforceable debt owed to us for [goods or services] supplied under invoice [number].

2. We presented the cheque for payment on [date]. It was returned unpaid on [date] with the remark [funds insufficient / account closed / payment stopped], as per the bank's return memo, a copy of which is enclosed.

3. I hereby demand payment of Rs. [amount], being the cheque amount, within fifteen days of the receipt of this notice.

4. If you fail to pay within the said period, I will be constrained to file a complaint against you under Section 138 of the Negotiable Instruments Act 1881 before the competent Magistrate, and you will be liable to prosecution and to all costs and consequences.

Enclosures: return memo, copy of invoice, statement of account.

Regards, [your name, firm, phone]

Template 7: the tax-disallowance letter

Subject: MSME dues beyond the Section 15 period - tax treatment for the current year

Dear [name],

Copy to: Chief Financial Officer, [buyer]; Statutory Auditor, [buyer].

1. Our invoices [numbers] for Rs. [amount] were accepted by you on [date]. Payment fell due under Section 15 of the MSMED Act 2006 on [date] and remains unpaid.

2. We are a micro enterprise registered under Udyam vide [number].

3. Under Section 37(2)(g) of the Income-tax Act 2025, read with Section 37(3), this amount is not deductible in the year the liability was incurred and can be claimed only in the tax year in which it is actually paid. The relief ordinarily available for payments made before the return due date does not extend to this clause.

4. We are writing so that the position is on record before your accounts are finalised, and we are copying your statutory auditor so that the item can be verified at audit.

5. The amount outstanding as on [date], including interest under Section 16, is Rs. [amount]. We would be glad to withdraw this letter on receipt of payment.

Regards, [your name, firm, phone]

Template 8: notice to a government department under Section 80 CPC

Subject: Notice under Section 80 of the Code of Civil Procedure 1908 - unpaid bills of Rs. [amount]

To: [designation and address of the Secretary or competent authority]

1. Under work order [number] dated [date], we supplied [goods or services] to [department], which were accepted on [date]. Bills [numbers] for Rs. [amount] remain unpaid.

2. We have represented to [office] on [dates] and received no payment and no reasoned rejection.

3. This is a notice under Section 80 of the Code of Civil Procedure 1908. Two months from the date of service of this notice, we intend to institute a suit for recovery of Rs. [amount] together with interest and costs unless the amount is paid or the claim is settled in writing before that date.

4. This notice is issued without prejudice to our rights, including the right to seek interest at the rate the court considers just.

Regards, [your name, firm, phone]

Template 9: arbitration invocation notice

Subject: Notice invoking arbitration under Section 21 of the Arbitration and Conciliation Act 1996

Dear [name],

1. Under [agreement or purchase order] dated [date], clause [number] provides for disputes to be referred to arbitration.

2. A dispute has arisen: our invoices [numbers] for Rs. [amount] remain unpaid despite acceptance of the supply on [date] and demands dated [dates].

3. We hereby invoke arbitration and refer the following disputes: (a) recovery of Rs. [amount]; (b) interest at [rate] from [date] to payment; (c) costs of the arbitration.

4. We propose [name] as sole arbitrator, seated at [city], with the proceedings in English. Please confirm your agreement to this appointment within fifteen days, failing which we will apply to the court for appointment under Section 11.

5. This notice is issued in accordance with Section 21 of the Act and marks the commencement of the arbitration.

Regards, [your name, firm, phone]

Template 10: application for pre-institution mediation

Subject: Application for pre-institution mediation under Section 12A of the Commercial Courts Act 2015

To: The Member Secretary, District Legal Services Authority, [district]

1. Applicant: [your firm], [address]. Respondent: [buyer], [address].

2. The dispute is a commercial dispute within Section 2(1)(c) of the Commercial Courts Act 2015, and its specified value is Rs. [amount], which is not less than Rs. 3 lakh.

3. The respondent has failed to pay invoices [numbers] for Rs. [amount] despite acceptance of the supply on [date] and demands dated [dates].

4. The applicant does not contemplate urgent interim relief. This application is made to exhaust the remedy of pre-institution mediation as required by Section 12A.

5. The applicant seeks mediation with a view to a settlement. Documents enclosed: invoices, purchase order, proof of delivery, statement of account, correspondence.

Regards, [your name, firm, phone]

Template 11: one-page settlement agreement

Settlement Agreement

Between [creditor], [address] (the Creditor) and [debtor], [address] (the Debtor).

1. The Debtor admits a liability of Rs. [principal] towards supplies made under invoices [numbers], together with interest of Rs. [interest] computed to [date].

2. The Creditor agrees to accept Rs. [settled amount] in full settlement, payable as: Rs. [amount] by [date], and the balance in [number] instalments of Rs. [amount] by [dates].

3. The Debtor shall issue post-dated cheques for each instalment, details of which are annexed.

4. If any instalment is not paid by its due date, the entire balance of the original claim of Rs. [total] shall become payable immediately, and the Creditor may pursue all remedies, including proceedings under Section 138 of the Negotiable Instruments Act 1881, without further notice.

5. This agreement is without prejudice to any proceedings already filed, which shall be withdrawn only on receipt of the full settled amount.

6. This agreement is governed by Indian law, and the courts at [city] have jurisdiction.

Signed: Creditor _____ Debtor _____ Date _____

Template 12: final notice and stop-supply letter

Subject: Final notice before further action - account suspended

Dear [name],

1. Rs. [amount] remains unpaid on your account, of which Rs. [amount] has been overdue for more than [number] days.

2. We have sent reminders on [dates] and a demand letter on [date]. We have received no payment and no payment date.

3. From today, supplies against your pending orders are suspended and your credit facility is withdrawn. We will supply against advance payment only.

4. If payment is not received by [date], we will file a reference before the Micro and Small Enterprises Facilitation Council through the MSME ODR portal, or a complaint under Section 138 of the Negotiable Instruments Act where a cheque is involved, as applicable, and claim the principal, statutory interest and costs.

5. This letter is without prejudice to our rights.

Regards, [your name, firm, phone]

Template 13: monthly statement covering letter

Subject: Statement of account for [month] - balance Rs. [amount]

Dear [name],

Please find attached your statement of account as on [date]. Invoices [numbers] totalling Rs. [amount] are outstanding, of which Rs. [amount] is beyond the agreed credit period.

If any invoice is disputed, tell us the specific ground and the document you need, and we will resolve it within seven days. If nothing is disputed, please confirm the date on which payment will be released.

Kindly reply by [date] so we can keep your account in order and avoid holding up your pending orders.

Regards, [your name, firm, phone]

QUESTIONS

Thirty questions people actually ask

Can I charge interest if my contract says nothing about it?

Yes, if you are a registered micro or small enterprise and the buyer crossed the Section 15 period. Section 16 supplies the rate: three times the RBI bank rate, compounded monthly. Without that, you need a contractual rate, or you ask the court to award interest in a money suit and take what it gives.

What if the buyer is in another state?

The facilitation council of your own state, the state where your unit is registered, has jurisdiction, and it can decide a dispute against a buyer located anywhere in India. That is one of the practical advantages of the MSME route.

Do I need a lawyer to file on the ODR portal?

No. The portal is designed for self-filing and the process is documented on it. An advocate becomes useful once the matter reaches arbitration, or where the buyer turns up with counsel and raises technical objections.

Is Udyam registration compulsory to claim the interest?

For the MSMED Act protection, yes. The provisions apply to a supplier that is a micro or small enterprise, and the registration is how that status is proved. Registration is free and takes minutes.

My Udyam registration is newer than the invoice. Can I still claim?

This is the weakest position in the chapter. The protection attaches to a registered micro or small supplier, so a registration obtained after the supply gives the buyer an argument. File anyway if the amount is large, but expect the point to be raised.

I am a medium enterprise. What do I have?

Your contract, and the ordinary civil law. No statutory 45-day deadline, no 17.25 per cent interest, no facilitation council. This is why the classification line matters more than most owners realise.

Is a GST invoice without a purchase order enough?

It proves a supply and a value, but it does not prove the terms. Pair it with delivery proof, and with the buyer's GSTR-2B if he claimed input credit, and you have a workable file.

The buyer says the goods were defective. What now?

A written objection within fifteen days of delivery moves the acceptance date to the day you cured the defect. No written objection within fifteen days means deemed acceptance, and a quality complaint raised four months later is a defence that has to be proved rather than assumed.

Can I stop supplying until I am paid?

Usually yes, subject to your contract and to any minimum supply obligation. Stop-supply is lawful pressure, and it is more effective than a notice, which is why Template 12 pairs the two.

What is the cheapest route for Rs. 50,000?

A demand letter, then Lok Adalat. Both are free or near-free, and the Lok Adalat award is enforceable as a decree. Filing a summary suit for Rs. 50,000 rarely makes money.

How long does a summary suit actually take?

It depends on the court and the defendant's skill at seeking adjournments. Plan for one to three years at the district level. It is still faster than an ordinary suit, because the defendant must earn the right to defend.

Can I file both a Section 138 complaint and a civil suit?

Yes. They are different proceedings with different purposes: one punishes the dishonour, the other recovers the debt. You cannot recover the same amount twice, and you should disclose the other proceeding.

Can I file Section 138 on a cheque given as security?

Yes, where there is a legally enforceable debt. The Section 139 presumption applies, and the drawer must prove the cheque was not for a debt. Keep the invoice and delivery proof that ties the cheque to a specific liability.

The cheque is more than three months old. Can I still present it?

No. Cheque validity is three months, and a cheque presented after that fails at the bank, which means no offence arises. Ask for a fresh cheque instead.

Where do I file the cheque complaint?

Under Section 142A of the Negotiable Instruments Act, at the court where your bank branch, the one where you deposited the cheque for collection, is situated.

The notice came back unclaimed. Is my case dead?

No. Service is presumed where a correctly addressed notice is sent by registered post, even if it returns refused or unclaimed. Keep the postal receipt, the tracking record and the returned envelope.

Must the Section 138 notice come from an advocate?

No. It must be a written demand from the payee or holder in due course. A notice on your own letterhead is valid, though an advocate's notice often gets a faster response.

The debtor paid after my notice. What now?

The offence is not complete, because he paid within the fifteen days. Record the payment, close the file, and keep the notice. It is proof that you escalate, which is useful the next time.

What does compounding mean?

A recorded settlement of the offence, usually with payment, after which the accused is acquitted. Most Section 138 cases end this way, and it is the outcome to aim for.

Can I recover from a director personally?

Only in two ways: a personal guarantee, or a Section 138 complaint that correctly names the person in charge of the company's affairs at the time of the offence. A director is not otherwise liable for the company's trade debts.

The company is already in insolvency proceedings. What do I do?

File your claim with the resolution professional within the period in the public announcement. You are a creditor in a process, not a claimant in a suit, and a late claim may be excluded.

Is a WhatsApp message enough proof of the debt?

It is admissible, with a certificate under Section 63 of the Bharatiya Sakshya Adhiniyam identifying the record, describing how it was produced and giving the device particulars. A self-certificate by the owner of the phone is generally accepted.

Can I record a phone call with the debtor?

A recording of your own conversation can be produced as evidence with the same certificate. Be careful about publishing it or using it to pressure anyone; the recording is for proceedings, not for social media.

What is the limitation for a cheque claim?

Two separate clocks. The criminal offence has the 30-15-30 sequence in Part 5. The civil claim on the cheque runs three years from the date it was dishonoured.

Can I add interest to an old invoice now?

You can claim it if a statute or the contract gives it to you. You cannot retrospectively invent a contractual rate. In a suit, you can ask the court to award interest from the date the amount fell due.

What is the court fee?

It is set by state law, ad valorem on the claim in most states, and it varies enough that you should check the schedule for your state before deciding a small claim is worth filing.

Can I sue the buyer's parent company or the brand?

Only if it is a party to the contract, gave a guarantee, or is the entity that actually placed the order. A brand name on the shopfront is not a contracting party.

The buyer has shut the shop and disappeared. Is it over?

Not necessarily. The entity may still exist with a bank account, a GST registration or a registered office. Check the GST portal and the company registry before you assume there is nothing.

Do I pay tax on the interest I recover?

Interest recovered on a trade debt is business income and is taxable as such. Ask your chartered accountant about the GST treatment of the interest component, which depends on how it is shown on the document.

When should I simply give up?

When there is no asset, no guarantee and no prospect, or when the amount is below the cost of the cheapest forum, or when limitation has already run and nothing acknowledged the debt. Decide it deliberately, write it off, and move the time to collections.

REFERENCE

Glossary and sources

Glossary

Term	What it means in this book
Acceptance	The day goods were delivered or services rendered; the trigger for every deadline in the MSMED Act
Appointed day	The day after fifteen days from acceptance, when there is no written agreement on credit terms
Acknowledgment of liability	A signed writing admitting the debt, which restarts limitation under Section 18 of the Limitation Act
Arbitration	Private adjudication by a tribunal under the Arbitration and Conciliation Act 1996, enforced as a decree
Award	The decision of an arbitral tribunal or a Lok Adalat
Cause of action	The set of facts that entitles you to sue; in a cheque case, the expiry of the fifteen-day window
Compounding	A recorded settlement of a criminal offence, ending the prosecution
Deemed acceptance	Delivery treated as accepted because no written objection came within fifteen days
Decree	The formal operative order of a civil court that can be executed
Execution	The separate proceeding that turns a decree into recovered money
Facilitation council	The state Micro and Small Enterprises Facilitation Council that hears delayed-payment references
Garnishee	An order directing a third party, usually a bank, to pay you from the debtor's funds
Interim compensation	Up to twenty per cent of a cheque amount ordered under Section 143A while the trial runs
Liquidated demand	A claim for a fixed, calculable sum, which is what makes a summary suit possible
Limitation	The period within which a claim must be filed, generally three years for money claims
MSEFC	Micro and Small Enterprises Facilitation Council, constituted under Section 20 of the MSMED Act
MSME ODR portal	The online dispute resolution platform at odr.msme.gov.in, the only route for new delayed-payment references since 15 October 2025
Order 37	The Code of Civil Procedure provision for summary suits on written contracts, enactments and guarantees
Plaint	The document that begins a civil suit
Post-dated cheque	A cheque payable on a future date, useful as security and as a Section 138 instrument

Term	What it means in this book
Promissory note	A signed promise to pay a sum, which is evidence and can restart limitation
Return memo	The bank's written reason for dishonouring a cheque; the clock starts when you receive it
RPAD	Registered post with acknowledgement due, the standard mode of serving a notice
Section 138	The offence of dishonour of a cheque for want of funds, in the Negotiable Instruments Act 1881
Section 63 certificate	The certificate required to prove an electronic record under the Bharatiya Sakshya Adhiniyam 2023
Specified value	For commercial courts, the value of the claim, which must be at least Rs. 3 lakh
Summary suit	A suit under Order 37 where the defendant must seek permission to defend
TReDS	The Trade Receivables Discounting System, where accepted invoices are financed
Udyam	The free, paperless registration that establishes micro, small or medium status
Written statement	The defendant's reply in an ordinary suit, which a summary suit is designed to bypass

Sources

Every rule, rate and deadline in this book was checked against the following, as on 14 November 2026.

- Micro, Small and Medium Enterprises Development Act 2006, Sections 2(b), 15, 16, 18, 19, 20, 21 and 23, as published by the Ministry of MSME.
- Ministry of MSME, delayed payment FAQs and legal framework notes, and the MSME Samadhaan portal documentation.
- Ministry of MSME letter dated 3 October 2025, File No. L/AFI/RAMP/2022-ODR Initiatives, on mandatory filing on the MSME ODR portal from 15 October 2025.
- Lok Sabha Unstarred Question No. 3028, answered 6 August 2026, on pendency with facilitation councils; and Unstarred Question No. 1986, answered 30 July 2026, on the ODR portal and the 161 facilitation councils.
- Economic Survey 2025-26 and the PIB release of 29 January 2026 on MSMEs, including the Rs. 8.1 lakh crore estimate of delayed payments.
- Reserve Bank of India, current policy rates as on 13 November 2026: bank rate 5.75 per cent, repo rate 5.50 per cent.
- Reserve Bank of India MSME FAQs, on the classification limits in force from 1 April 2025, and the Udyam registration portal.
- Income-tax Act 2025, Section 37(2)(g) and Section 37(3); and Section 43B(h) of the Income-tax Act 1961 for earlier years.
- Negotiable Instruments Act 1881, Sections 138, 139, 142, 142A, 143, 143A, 147 and 148, and the Negotiable Instruments (Amendment) Act 2018.
- Code of Civil Procedure 1908, Order 37 and Section 80; Limitation Act 1963, Sections 18 and 19.
- Commercial Courts Act 2015, Sections 2(1)(c), 2(1)(i) and 12A, with the Commercial Courts (Pre-Institution Mediation and Settlement) Rules 2018.

- Arbitration and Conciliation Act 1996 as amended in 2015, 2019 and 2021; Mediation Act 2023 and the commencement notification of 9 October 2023.
- Bharatiya Sakshya Adhiniyam 2023, Sections 62 and 63; Bharatiya Nyaya Sanhita 2023, Sections 316 and 318.
- Insolvency and Bankruptcy Code 2016, Part III, Sections 78 and 80.
- Legal Services Authorities Act 1987, on Lok Adalats and the status of their awards.
- Lok Sabha Unstarred Question No. 2129, answered 31 July 2026, on pending cheque bounce cases and hearings in Delhi, with National Judicial Data Grid figures.
- Press Information Bureau and Ministry of MSME material on TReDS volumes and the 2026 budget measures for central public sector enterprises.

One last page

Recovery is a sequence, not an argument. Assemble the file, compute the interest, send the letter, keep the proof, and file on time. Four of those five are things you can do this week without spending a rupee, and the fifth is a decision you now know how to price.

The money is either recoverable or it is not, and the difference is almost never the debtor's honesty. It is whether the creditor had the dates written down.